HEIDI HENDERSON

*The Truth about Cost Segregation

ELITE RESOURCE TEAM

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TAX SERVICES

The Truth about Cost Segregation

Unlocking Powerful Tax Advantages in Real Estate

Our Legacy of Innovation

Since 2001, we've been revolutionizing tax services by bringing Fortune 500 solutions to small and mid-sized businesses across America.

25+
Years of Excellence

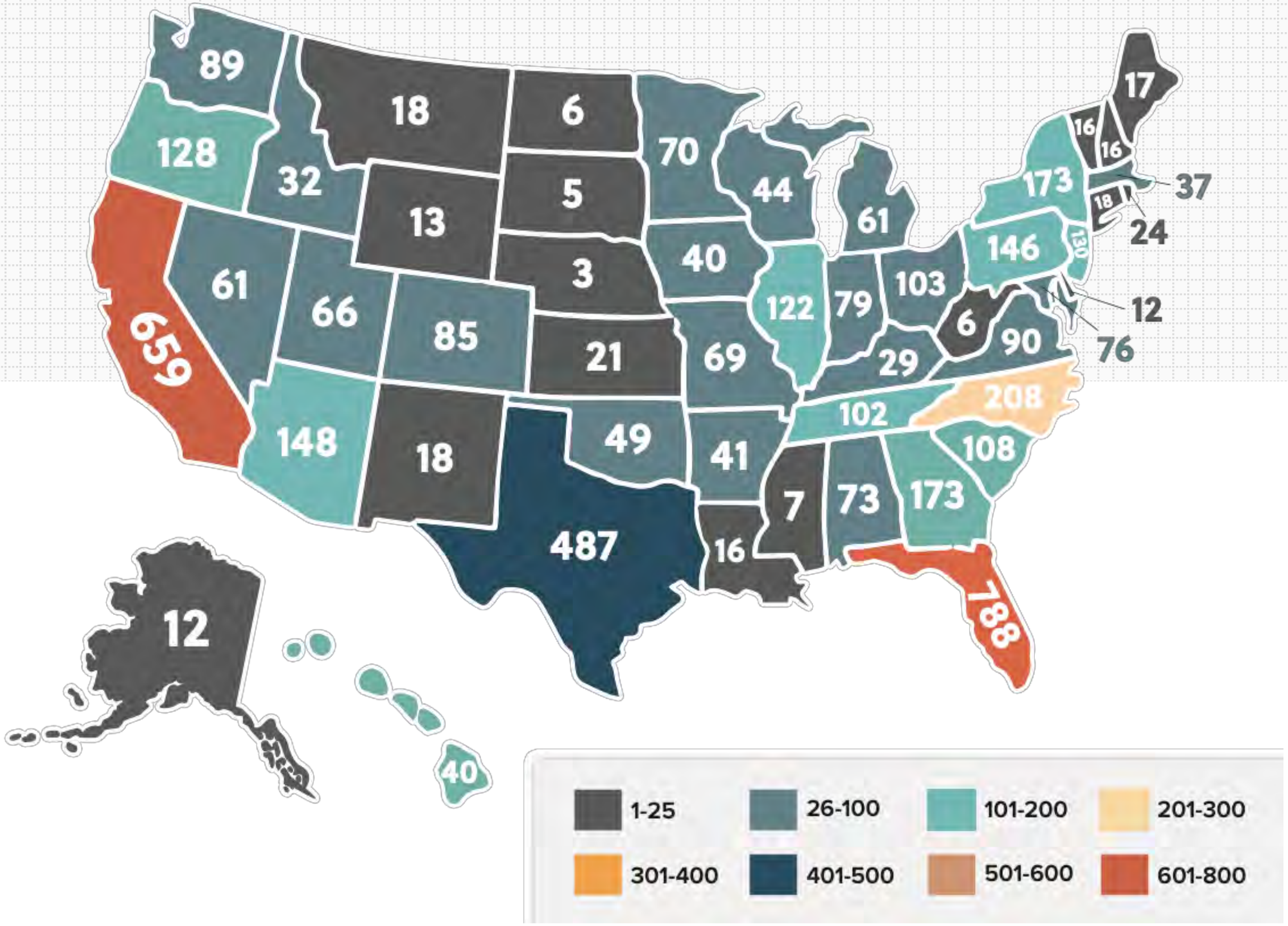
75K
Studies Completed

60k+
Clients Served

$2B+
In Client Tax Savings Generated

4,834 Cost Segregation Completed in 2025

Our cost segregation studies helped clients unlock significant tax savings, accelerating depreciation and improving cash flow.



Heidi Henderson

- 28 Years in Tax & Consulting:
- Real Estate Investor and Tax Consultant
- National Speaker
- Masters Degree in Accounting
- Working with 1,000s of large Investors, CPA firms and Business Owners
- Utah and Nevada-based

Our Services

Cost Segregation

Accelerate depreciation and increase cash flow through an engineering-based study.

R&D Tax Credit

Identify and document qualifying research activities to maximize your R&D tax credit benefits.

179D/45L Energy Incentives

Claim energy-efficient commercial building deductions and residential tax credits.

Engineered Incentive Reports

Ideal for companies poised for growth and seeking strategic financial advantages.

Engineered Insurance

Comprehensive insurance solutions backed by engineering expertise and analysis.

1031 Exchange Services

Defer taxes with a 1031 Exchange. Our **no-fee** services help maximize your investment potential.

Our Family of Companies

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ADVISORY

engineered
TAX SERVICES

engineered
INSURANCE SERVICES

the growth
PARTNERSHIP

the partner
INSTITUTE

INSIDE
public accounting

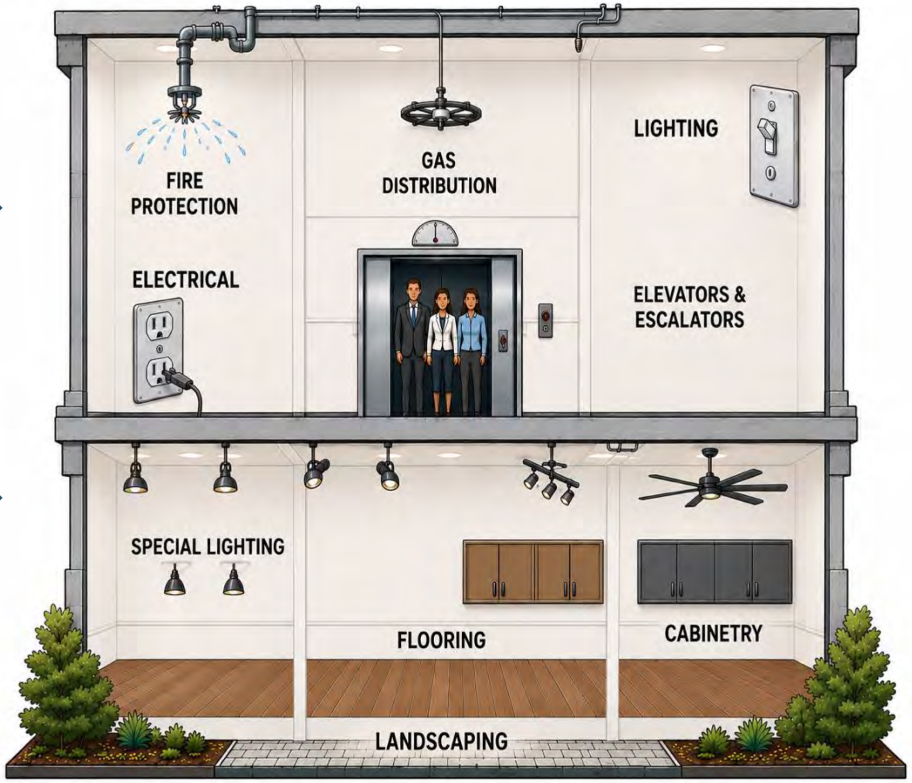
engineered
TAX SERVICES

Cost Segregation

COST SEGREGATION

Standard vs. Itemized Deductions

39-Year Class Life
Standard Deduction



15-Years

5-Years

39-Year Class Life
Itemized Deductions

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COST SEGREGATION

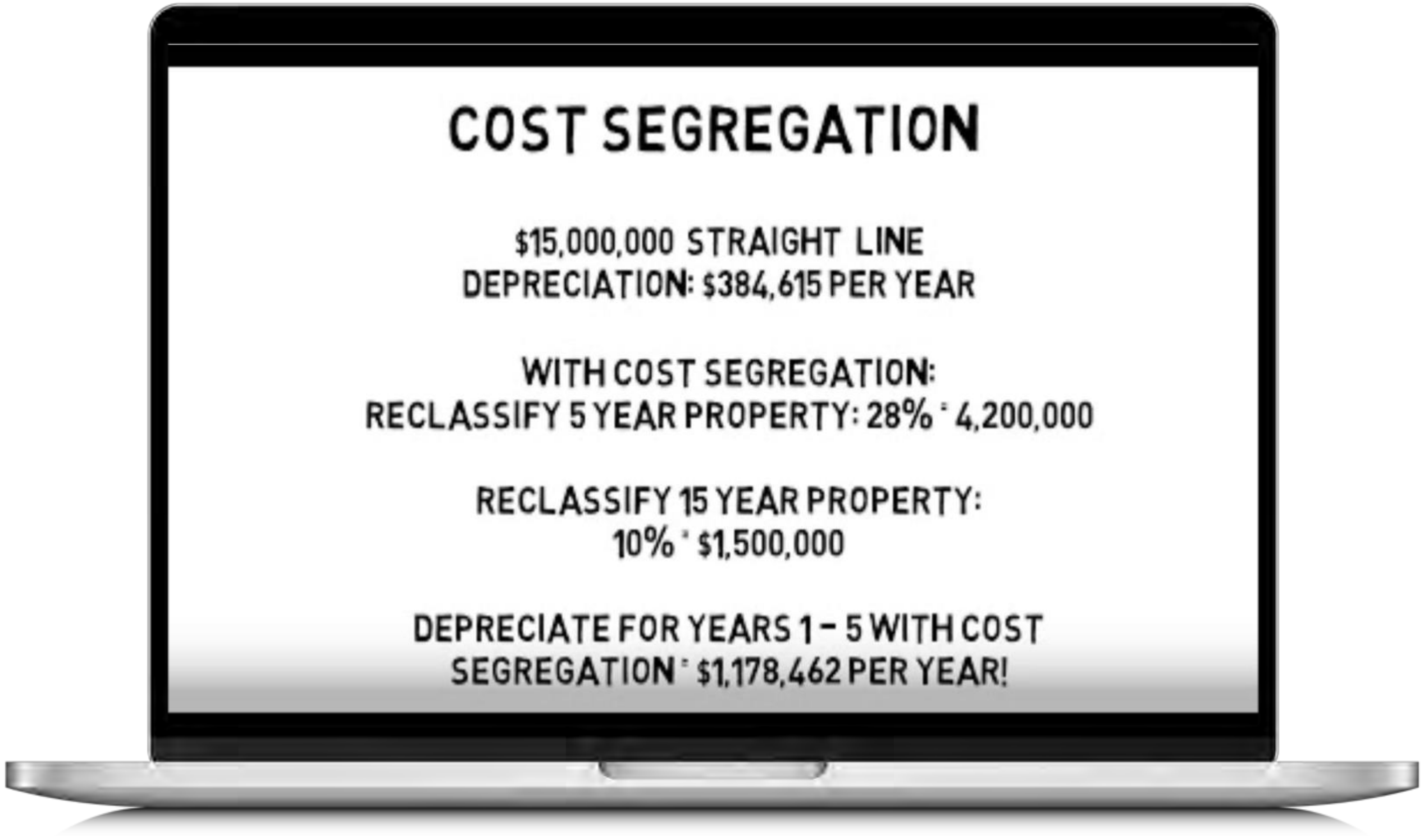
Why Cost Segregation?

- **Accelerated depreciation**
- **Improved cash flow** to reinvest in operations or growth
- **Bonus Depreciation**
- **MACRS – "Preferred Method" by IRS**
- **Future write offs**
- **Risk mitigation**
- **Insurance reduction**

$698K
Average client deduction

10x
Average return on investment

Standard vs. Itemized Deductions



COST SEGREGATION

The Numbers…Bonus Depreciation

Existing Real Property Acquired	Prior & New Law		Prior Law		New Law	
$2,500,000 Purchase (excluding land allocation)	SL 39-Year Depreciation without Cost Segregation		Cost Segregation MACRS (no bonus)		Cost Segregation MACRS (with 100% bonus)	
5-year Personal property	0%	$0	24%	$600,000	24%	$600,000
15-year Personal property	0%	$0	6%	$150,000	6%	$150,000
39-year Real property	100%	$2,500,000	70%	$1,750,000	70%	$1,750,000
Approximate 1st Year Depreciation	**$64,103**		**$172,372**		**$794,872**	

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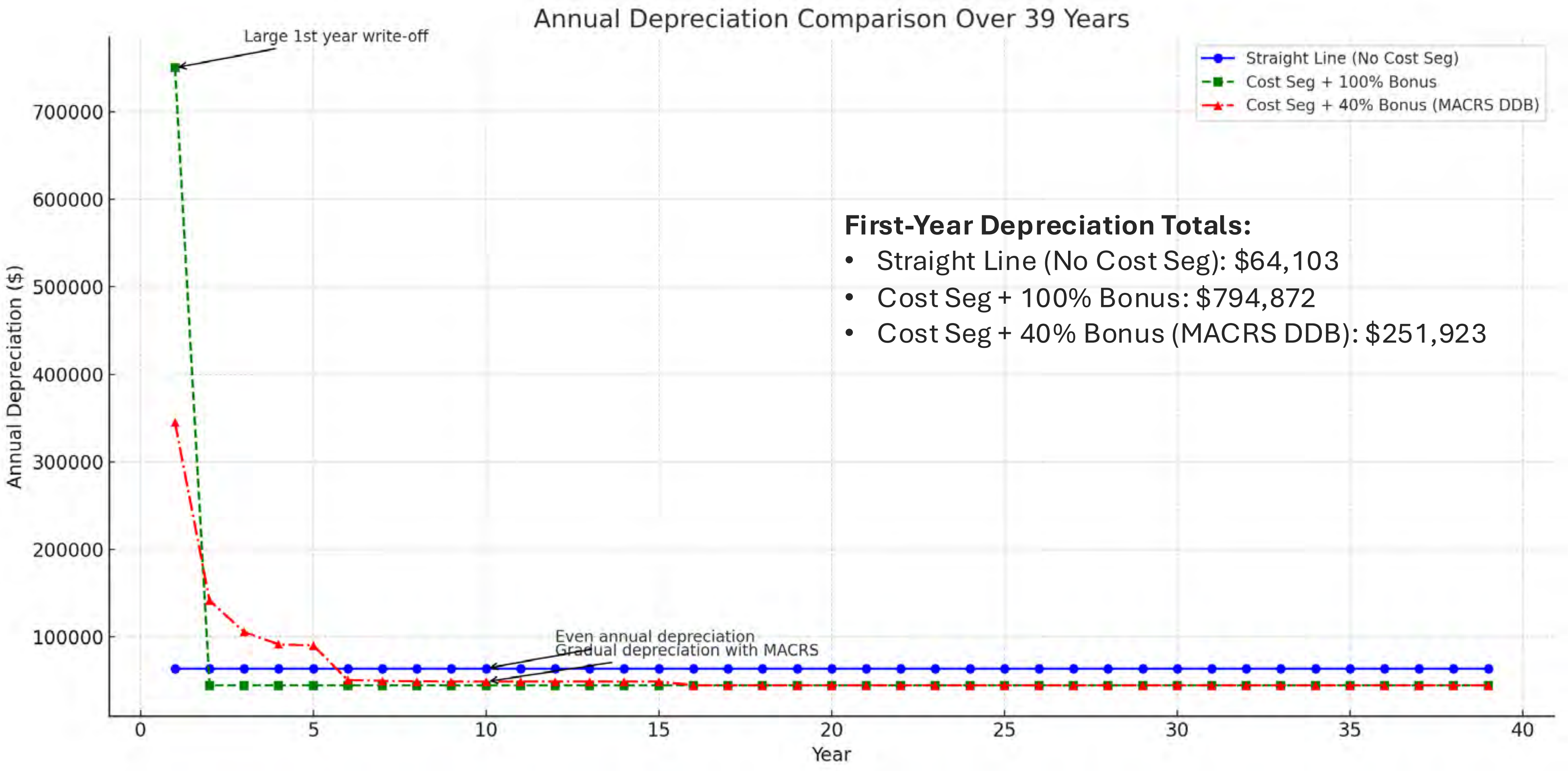
COST SEGREGATION

Annual Depreciation Comparison Over 39 Years



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Purchase & Financing

Purchase Price ($)	$	1,350,000.00
Downpayment (%)		25.0%
Interest Rate (%)		8.00%
Loan Term (years)		20
Closing Costs (%)		3.00%
Loan Origination Date		4/24/2024
Mortgage Insurance ($/year)	$	-
Repair Cost ($)	$	-
Property Value	$	1,500,000.00
Desired ARV Discount (% ARV)		75%
Market's CAP Rate (5+ units)		0.00%
$ Per FT Improvement	$	53.96
$ Per FT LAND	$	18.34
Current Rent Per FT	$	0.46
Current Rent Yearly	$	5.52
NNN Calculation		$0.00
Proposed Rent Rate		0.7

Rental Income ($/month)

	qty.	current	market
Rent	1	$ 11,500.00	
	1		$ -
	1		$ -
	1		$
Unit type E < 2bed,1bath>	0	$ -	$ -
Unit type F < 2bed,1bath>	0	$ -	$ -
Unit type G < 2bed,1bath>	0	$ -	$ -
Unit type H < 1bed,1bath>	0	$ -	$ -
Unit type I < 1bed,1bath>	0	$ -	$ -
Unit type J < 1bed,1bath>	0	$ -	$ -
Other Income ($/month)	**qty.**	***current***	***market***
ex.) garage, laundry, vending	1	$ -	$ -
ex.) parking, storage, etc.	1	$ -	$ -
Select for Analysis (*choose one*)		*Current*	

Operating Expenses

			notes
Property Management Fee (%)		0.0%	*of gross rent collected*
Leasing Fees (%)		0.0%	
Vacancy Reserve (%)		0.0%	
Maintenance & Repairs Reserve (%)		0.0%	
Capital Expense Reserve (%)		0.0%	
Property Tax ($/year)			
Insurance ($/year)			
Flood Insurance			
Utility: Water & Sewer ($/month)	$	-	
Utility: Electric ($/month)	$	-	
Utility: Gas/Oil ($/month)	$	-	
Utility: Trash ($/month)	$	-	
Utility: Lawn/Snow ($/month)	$	300.00	
< Other Expense > ($/month)			

RESULTS

Purchase & Financing Results

Downpayment	$	337,500.00
Loan Amount	$	1,012,500.00
Monthly Loan Payment (P&I)		$8,468.96
Monthly Mortgage Insurance (MI)	$	-
Total Monthly Mortgage Payment	$	8,468.96
Closing Costs	$	30,375.00
Annual Percentage Rate (APR)		8.413%
Price to Value (%)		90.0%
Max Allowable Offer (Flip/BRRR)	$	1,125,000.00
Total Initial Investment	**$**	**367,875.00**
Depreciation		$1,080,000
Tax Savings		$421,200

Cash Flow Analysis

	monthly	yearly
Gross Income	**$ 11,500.00**	**$ 138,000.00**
Less: Loan Payment (P&I + MI)	$ 8,468.96	$ 101,627.47
Less: Property Management Fee	$ -	$ -
Less: Leasing Fees	$ -	$ -
Less: Vacancy Reserve	$ -	$ -
Less: Maint. & Repairs Reserve	$ -	$ -
Less: Capital Expense Reserve	$ -	$ -
Less: Property Tax	$ -	$ -
Less: Insurance	$ -	$ -
Less: HOA Fee	$ -	$ -
Less: Owner-Paid Utilites	$ 300.00	$ 3,600.00
Less: < Other Expense >		$ -
Net Cash Flow	***$ 2,731.04***	***$ 32,772.53***
Per Unit Average *# units:* 4	$ 682.76	$ 8,193.13

Key Performance Indicators

		notes
Property Age	42 years old	
Price per Square Foot	$ 53.96	
Average Cost per Unit	$ 337,500.00	
Property Value (@ Market Cap Rate)	#DIV/0!	commercial only
Operating Expenses ($/year)	$ 3,600.00	
Net Operating Income ($/year)	$ 134,400.00	
Principal Paydown (year 1)	$ 21,400.87	
Price to Rent Ratio	9.78	< 8
Debt-Service Coverage Ratio	1.32	> 1.25
1% Rule Check (Rent ÷ Price > 1%)	0.9%	
50% Rule Check (OpEx ÷ Rent > 50%)	2.6%	
Capitalization Rate (Cap Rate)	**10.0%**	
Cash on Cash Return on Investment	**8.9%**	
Total Return on Investment (year 1)	**14.7%**	

COST SEGREGATION

Best Property Types

Multifamily & Residential Investments

- Apartment Buildings
- Mobile Home Parks
- Vacation Rentals

Commercial & Mixed-Use Properties

- Office Buildings
- Retail Centers
- Mixed-Use Developments

Hospitality & Specialty Properties

- Hotels & Resorts
- Self-Storage Facilities
- Car Washes
- Gas Stations
- Oil Change Centers

COST SEGREGATION

Fixed Asset Detail/Engineering

R.S. Means	Description	Class Life	Quantity	Unit	Unit Price	Reference	Total Price
3352930.0850	SLAB ON GRADE - Finishing floors, granolithic topping, 1:1:1-1/2 mix, 1" thick	39 Year CL	11,000.00	SF	3.17	R. S. Means	34,866.70
3352930.2100	SLAB ON GRADE - Finishing floors, hardener, metallic, heavy service, 1.0 PSF, add	39 Year CL	11,000.00	SF	1.42	R. S. Means	15,619.56
3352960.0020	BASEMENT WALLS - Finishing walls, break ties & patch voids	39 Year CL	45,000.00	SF	0.58	R. S. Means	26,102.25
3352960.0020	EXTERIOR WALLS - Finishing walls, break ties & patch voids	39 Year CL	17,000.00	SF	0.58	R. S. Means	9,860.85
3392313.0300	SLAB ON GRADE - Curing, sprayed membrane curing compound	39 Year CL	110.00	CS	9.89	R. S. Means	1,087.95
							711,629.58
5 Metals							
5511350.1500	STAIRS - Stair, landing, steel pan, conventional	39 Year CL	120.00	SF	64.53	R. S. Means	7,743.60
5511350.1500	STAIRS - Stair, landing, steel pan, conventional	39 Year CL	240.00	SF	64.53	R. S. Means	15,487.20
5511950.0050	STAIRS - Stair, shop fabricated, steel, 4'-0" W, incl pipe railing, stringers,	39 Year CL	80.00	RIS	405.91	R. S. Means	32,472.79
5511950.0050	STAIRS - Stair, shop fabricated, steel, 4'-0" W, incl pipe railing, stringers,	39 Year CL	160.00	RIS	405.91	R. S. Means	64,945.58
							120,649.17
6 Wood, Plastics, and Composites							
6111018.2740	ROOF CONSTRUCTION - Framing, joists, 2" x 12"	39 Year CL	18.15	MB	970.00	R. S. Means	17,605.57
6111026.0400	INTERIOR PARTITIONS - Part,wd std W/sgl bot pl,dbl tp pl,std&btr lbr,2"x4" std,10' H,16" OC	39 Year CL	245.00	LF	9.80	R. S. Means	2,401.20
6111026.0800	EXTERIOR WALLS - Part,wd std W/sgl bot pl,dbl tp pl,std.&btr lbr,2"x6" std,8' H,16" OC	39 Year CL	1,062.50	LF	11.69	R. S. Means	12,420.56
6132310.0600	COLUMNS - Framing, heavy, columns, structural grade, 1500f, 12" x 12"	39 Year CL	15.00	MB	2,910.00	R. S. Means	43,650.00
6132310.1760	FLOOR CONSTRUCTION - Wood framing, heavy mill timber, joists, fir, 3" x 12"	39 Year CL	145.20	MB	1,540.00	R. S. Means	223,608.51
6162310.0011	FLOOR CONSTRUCTION - Subfloor, plywood, CDX, 1/2" thick	39 Year CL	46.20	SFF	0.93	R. S. Means	43.03
6163610.0030	ROOF CONSTRUCTION - Sheathing, plywood on roof, CDX, 5/16" thick	39 Year CL	11,550.00	SF	1.00	R. S. Means	11,550.00
6163610.0600	EXTERIOR WALLS - Sheathing, plywood on walls with exterior CDX, 1/2" thick	39 Year CL	8,500.00	SF	1.06	R. S. Means	9,009.83
							320,288.70
7 Thermal and Moisture Protection							
7211620.0460	EXTERIOR WALLS - Wall/ceiling insul, fbgls, foil faced, batt/blkt, 6" thk,	39 Year CL	8,500.00	SF	0.77	R. S. Means	6,544.83

COST SEGREGATION

Our Process

Our rigorous, data-driven approach ensures **maximum tax benefits** through detailed analysis.

01

Benefit Analysis

1-2 days, Address Analysis

02

In-Person Site Visit

2-3 weeks, By Qualified Building Professionals

03

Engineering

2-3 weeks Expert Review

04

Quality Control

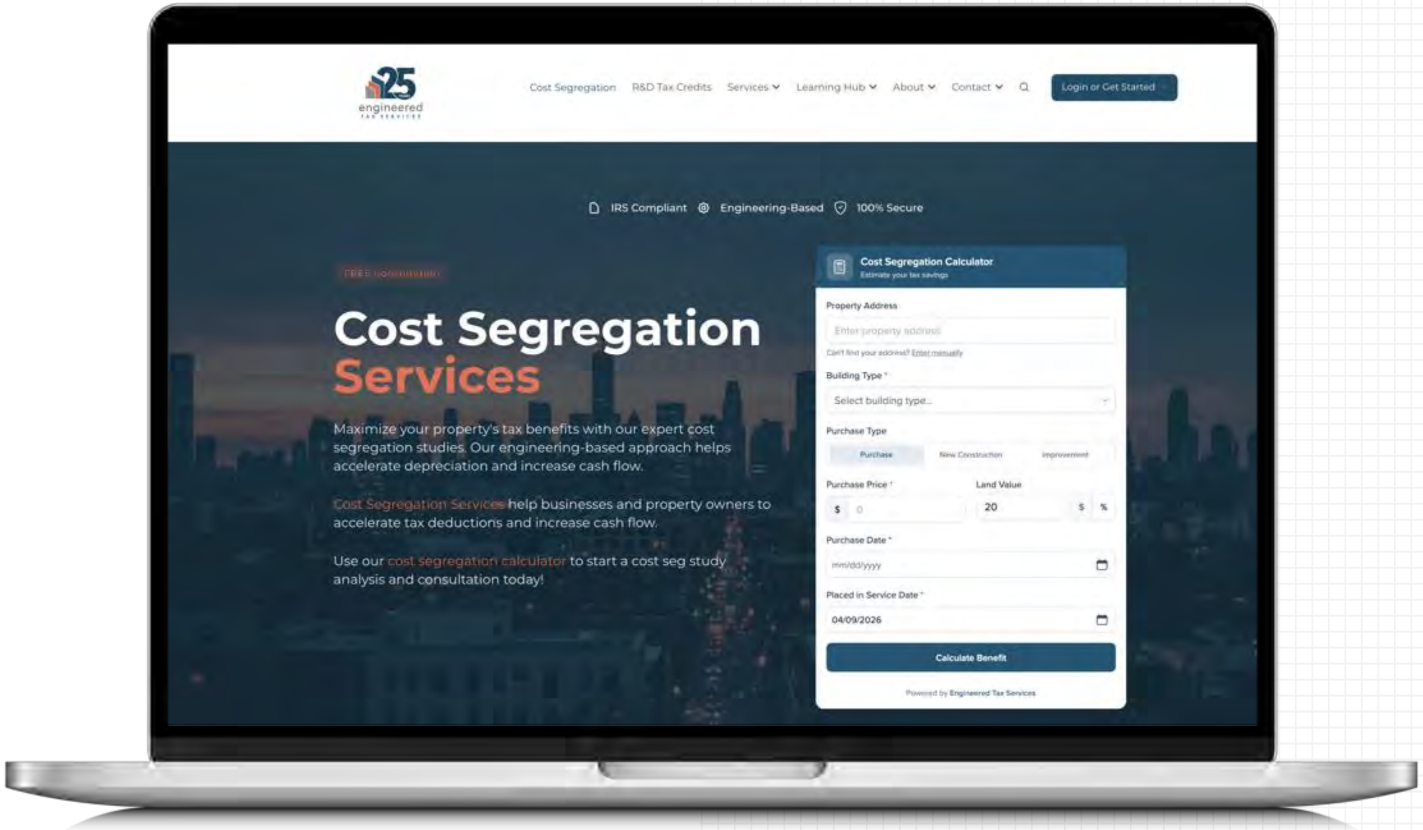
1-2 days, Final Report

COST SEGREGATION

See if You Qualify

Use our **free cost segregation calculator** to start a cost seg study analysis and consultation today!

Get Started »



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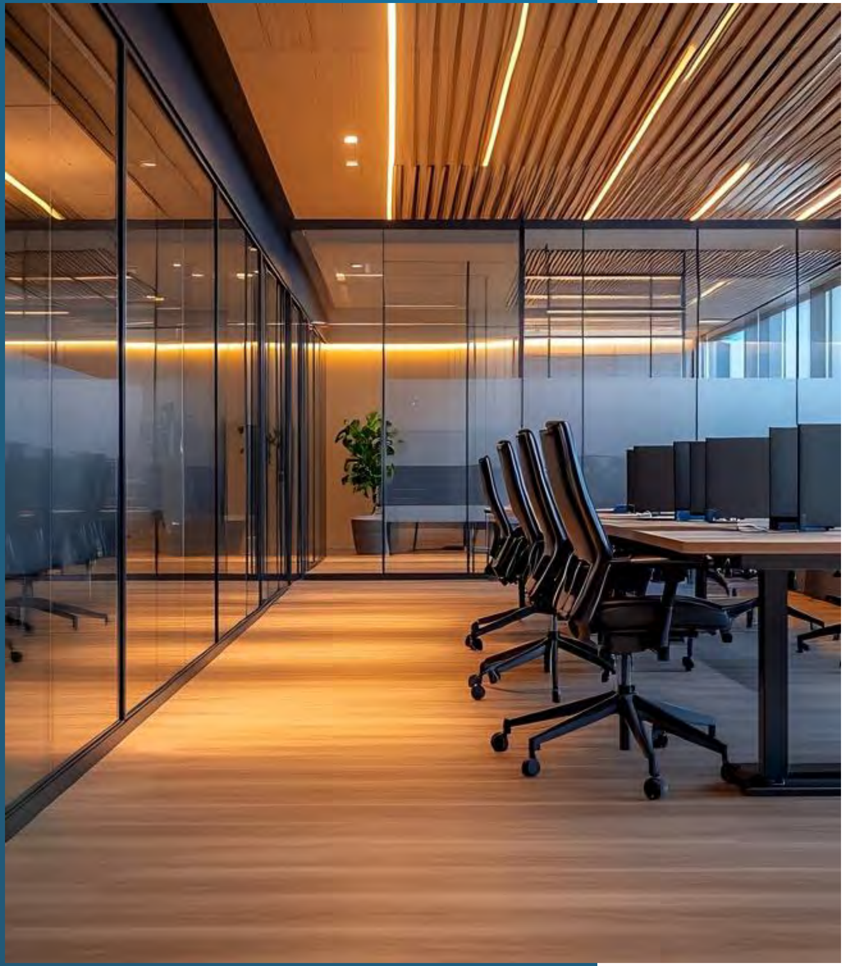

COST SEGREGATION

What is Bonus Depreciation?

Bonus depreciation applies to any property with class life < 20 yrs

Depreciation Schedule:

- 100% Bonus Depreciation
  Sept 27, 2017 – Dec 31, 2022
- 2023 – 80%
- 2024 – 60%
- 2025 – 40% → **NOW: 100% for acquisitions and PIS after Jan 19th, 2025**
- 2026 – 20% (Under TCJA)
- 2027 – Zero (Under TCJA)

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Land Valuation

Understanding land valuation

- Land is a non-depreciable asset.
- A lower land allocation may increase the portion of the purchase price eligible for depreciation.

Key factors considered:

- Tax assessed ratio
- Reasonable percentage (80/20)
- Appraised value
- Comparisons (raw undeveloped land)

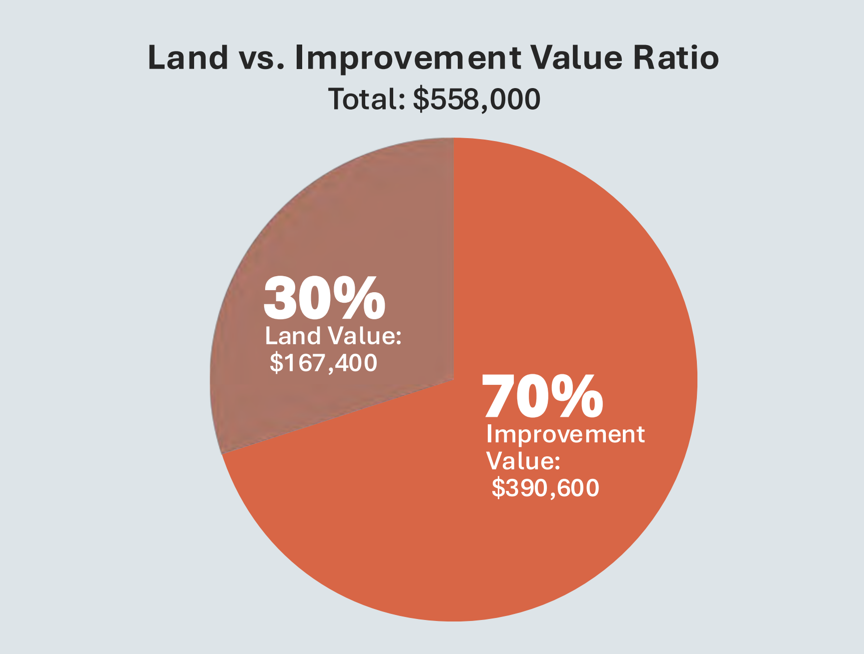
Important consideration

- The lowest land value will provide the **most** tax benefit to you.

Tax Computation Worksheet

Description	Full Valuation	x Tax Rate	= Tax Amount
LAND	167,400		
IMPROVEMENTS	390,600		
FIXTURES			
TOTAL REAL PROPERTY	558,000		
PERSONAL PROPERTY			
GROSS ASSESSMENT & TAX	558,000	1.2060 %	6,729.48
HOMEOWNERS EXEMPTION	-7,000	1.2060 %	-84.42
OTHER EXEMPTION			
TOTAL AD VALOREM TAX	551,000	1.2060 %	6,645.06
Ad Valorem Tax plus Special Assessments			14,540.34

First Installment	Second Installment	Total Amount Due
$ 7,270.17	$ 7,270.17	$ 14,540.34



COST SEGREGATION

Property Reclassification Table

Property Type	Depreciation Acceleration
Apartment Building	20-40%
Assisted Living	22-45%
Auto Dealership	29-35%
Bank	30-45%
Car Washes	75-100%
Gas Station	50-100%
Conference Center	25-35%
Fitness Center	22-45%
Golf Course	28-60%
Grocery Store	20-45%
Hospital	25-45%
Manufacturing	18-60%

Property Type	Depreciation Acceleration
Medical Office/Clinic	30-55%
Mixed Use	22-35%
Mobile Home Parks	60-100%
Office Building	20-40%
Research Facility	20-30%
Hotel & Resorts	22-45%
Restaurant	25-45%
Retail Strip Mall	20-40%
Self Storage Facilities	18-90%
Theme Park	30-68%
Vacation Rentals	25-45%
Warehouse	20-30%

Passive vs. Active Income

Passive Activity

- Most rental real estate
- Losses offset **passive income only**
- Cannot offset **active income** (wages, business income)
- Includes depreciation from Cost Segregation

Active Income (W-2 / Business)

- Wages and operating business income
- Generally **not reduced by passive losses**
- Taxed as ordinary income

Key Exception

Passive losses may offset active income if:

- Qualify as a Real Estate Professional (REP)
- Meet IRS material participation requirements
- Self-rental

Planning Consideration

The IRS allows **grouping of rental activities** to help meet participation rules and improve loss utilization.

Takeaway

Passive losses are powerful but typically limited to passive income without proper qualification.

Partial Asset Disposition (PAD)

Treas. Reg. §1.168(i)-8(d)(2)

What It Is

When an owner disposes of part of an asset through sale, retirement, replacement, or abandonment, financial records must be updated.

When it Applies - *Key Requirement*

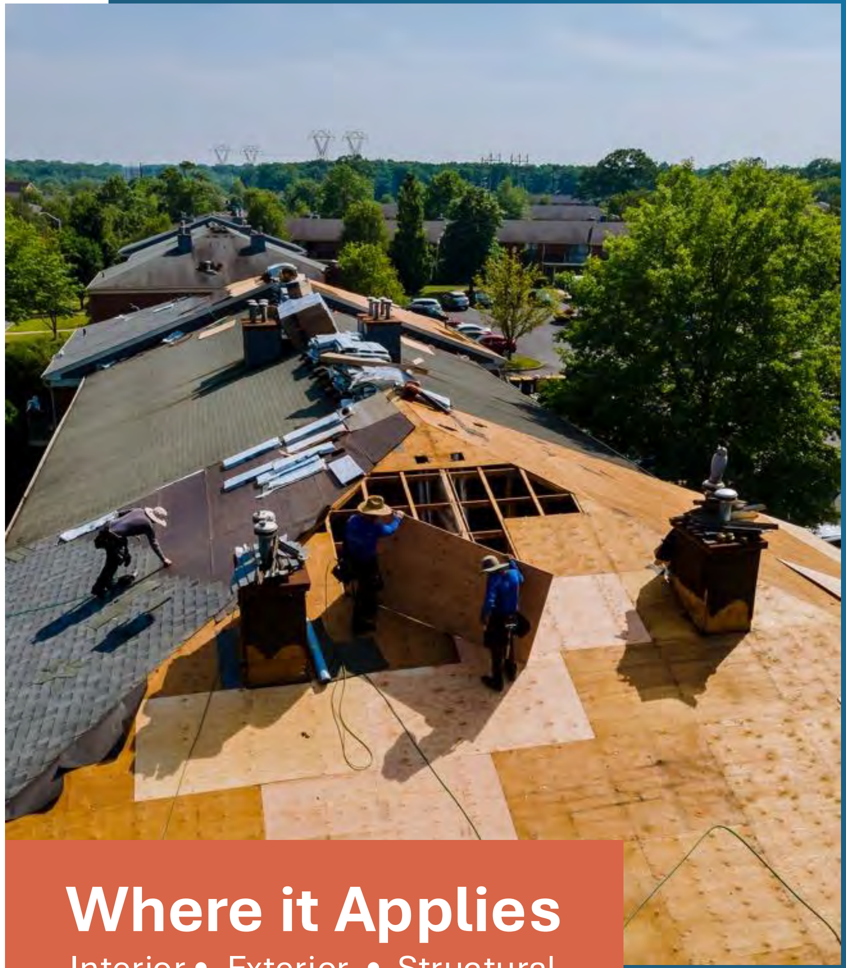
Must be captured **in the tax year the asset is removed**.

When to Involve Engineering

Disposition portion must be identifiable and property documented

Takeaway

PAD prevents missed write-offs and aligns book and tax depreciation.



Where it Applies

Interior • Exterior • Structural

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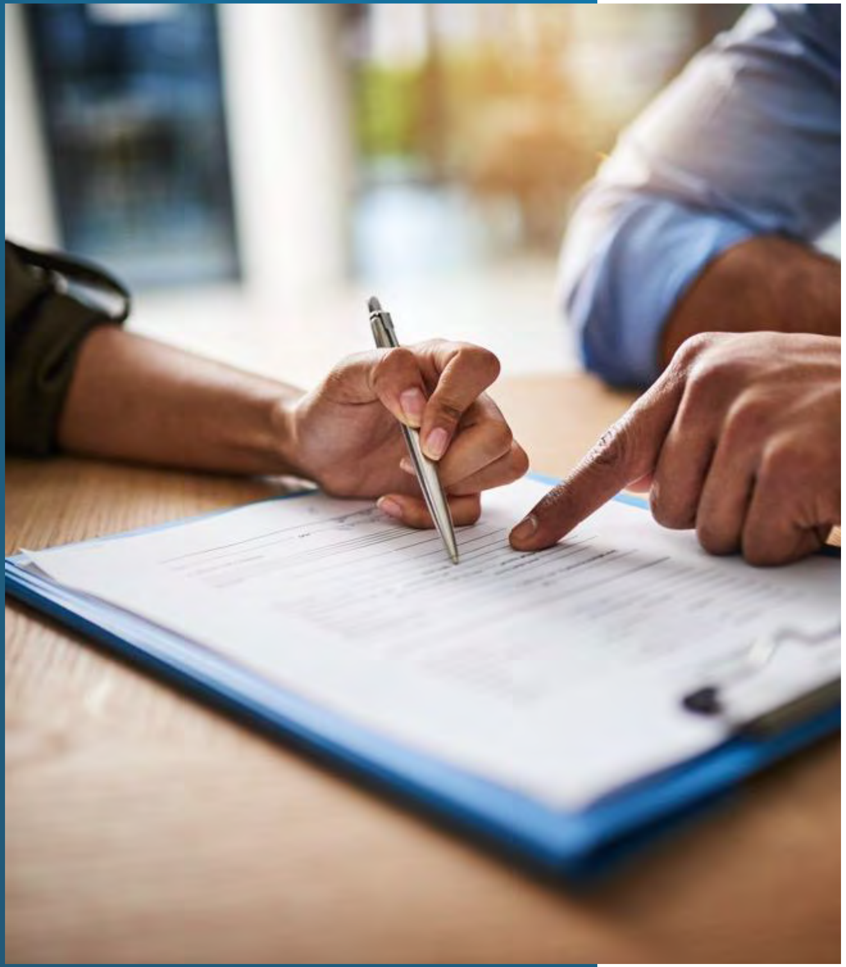
What happens when I sell?

"If I take all this depreciation now, won't I just have to pay it all back when I sell?"

Takeaway

The exit strategy is where wealth is *preserved*.



COST SEGREGATION

The Real Tax Cost at Sale - *Depreciation Recapture*

The Scenario

$2M property • 30% reclassified via cost seg • Sold after 5 yrs for $2.5M

Tax Due at Sale

§1245 Recapture (5/15-yr): $480K × 37% = **$177,600**
§1250 Unrecaptured (39-yr SL): $144K × 25% = **$35,898**
§1231 LTCG + NIIT: $500K × 23.8% = **$119,000**

Total Federal Tax Due

~$332,500 on $1.12M of gain (state tax additional)

Takeaway

Deduct at 37% now • recapture at 25-37% later. *Rate spread + time value = real wealth.*

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COST SEGREGATION

Sale Allocation Study

What It Is

Analysis allocates sale price across property components at disposition.

Why it Matters

Proper allocation may reduce depreciation recapture and optimize capital gains treatment.

Common Opportunities

Land, building, FF&E, site improvements, specialty assets.

Takeaway

Strategic planning *before* sale can preserve more after-tax proceeds.

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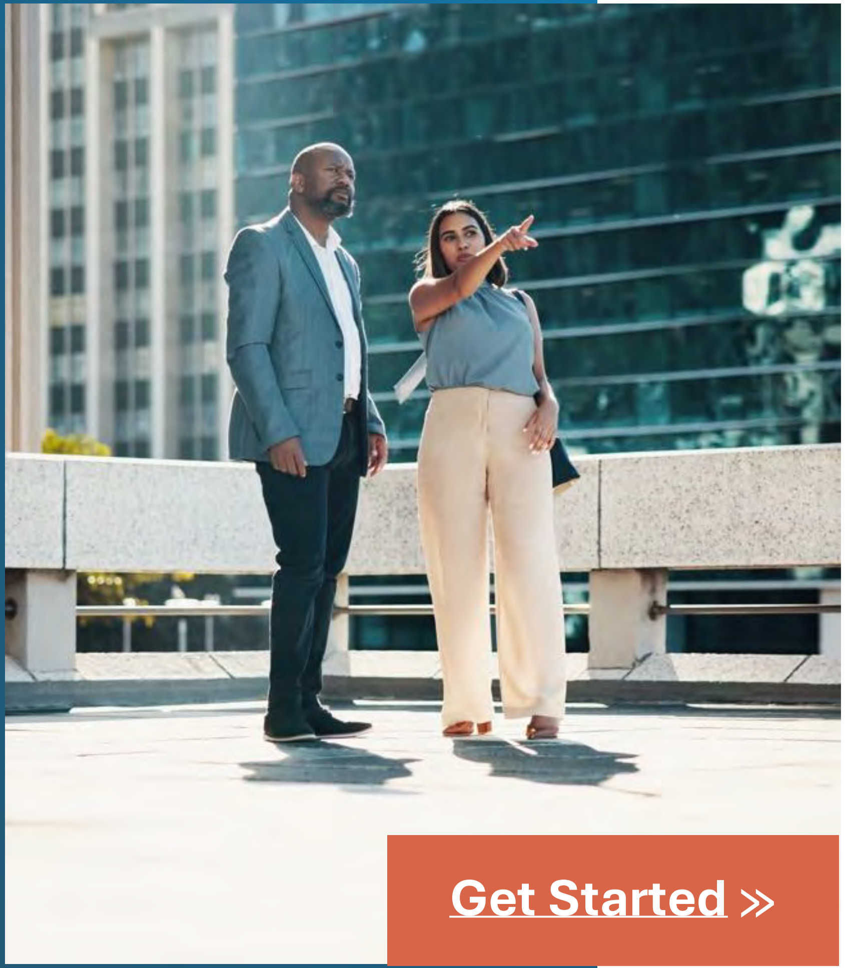

Get Started »

COST SEGREGATION

1031 Exchange

What It Is

Enables the sale of an investment property and reinvestment in another while deferring **taxes**.

Key Benefits

- Defers capital gains tax
- Defers depreciation recapture
- Preserves full reinvestment capital

Key Requirements

- Identify replacement property within **45 days**
- Close within **180 days**
- Reinvest proceeds into like-kind property

Takeaway

Defers taxes and allows reinvestment of more capital

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COST SEGREGATION

1031 Exchange into a DST

What It Is

A **Delaware Statutory Trust** is a fractional-ownership vehicle that qualifies as “like-kind” for 1031 exchanges (Rev. Rul. 2004-86).

Why It Matters

Move from **active to passive** ownership—no tenants, no toilets, no termites—while keeping taxes fully deferred.

Generational Wealth Strategy

Swap, swap, swap … til you drop. Heirs receive a **stepped-up basis at death**—deferred tax is never paid.

Takeaway

The exit doesn’t have to mean the end. Trade work for *mailbox money.*

COST SEGREGATION

The Lazy 1031

What It Is

Buy a **new property + run a cost seg with bonus depreciation** in the same tax year you sell the old one.

How It Works

The new property's first-year bonus depreciation **offsets the recapture and gain** from the sale—netting to near zero taxable income.

Why It's "Lazy"

No 45-day ID rule. No 180-day close. No qualified intermediary. No like-kind constraint.

Takeaway

Same-year offset. Same tax deferral. *None of the paperwork*.

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Additional Services

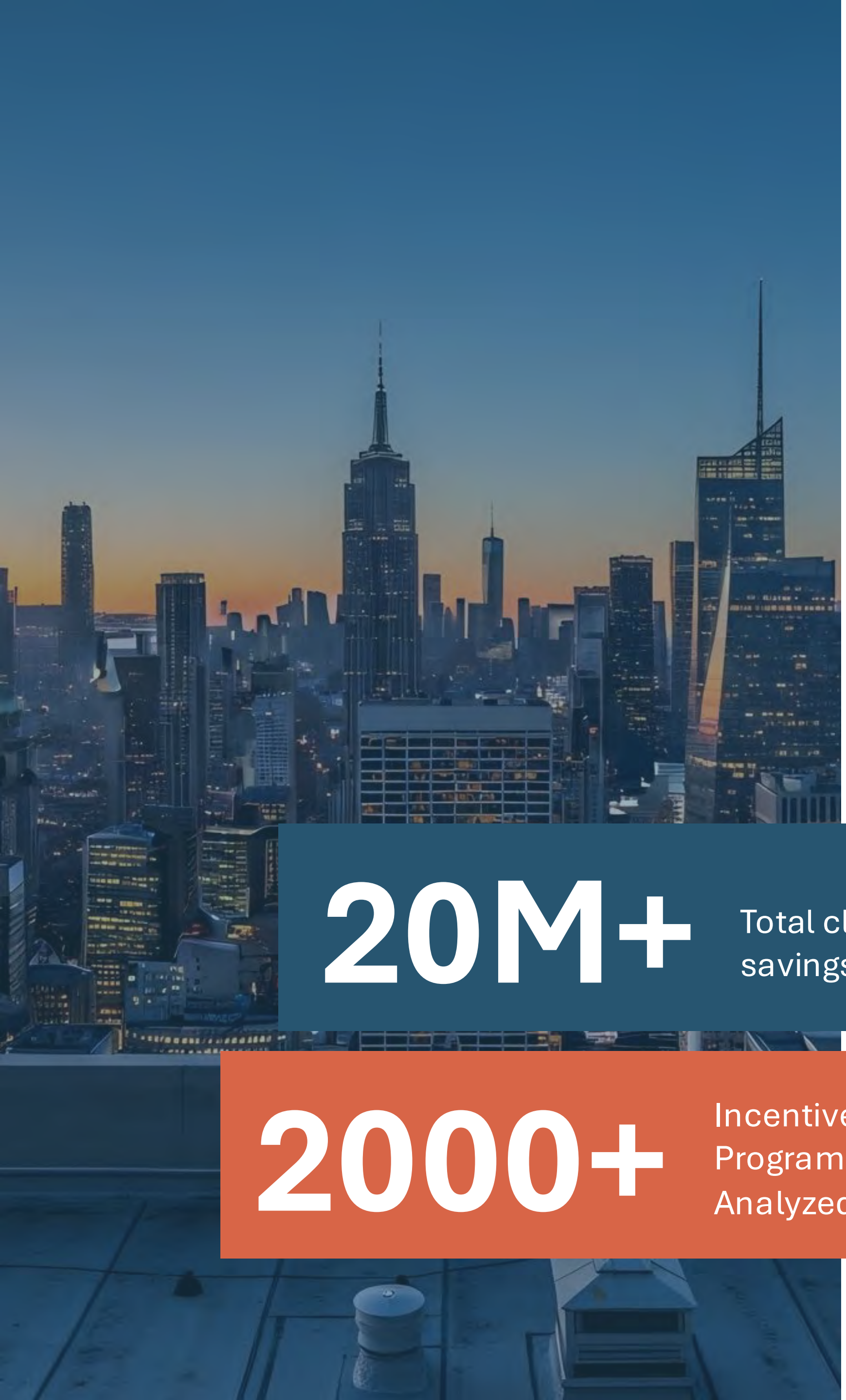
Commercial Insurance

Why Choose Our Insurance Services

- **Integrated Solutions**
  Seamlessly align insurance coverage with Cost Segregation to avoid missed tax opportunities.
- **Custom Coverage**
  Comprehensive risk assessment and customized insurance strategies for your specific needs.
- **Cost Efficiency**
  Optimize both insurance costs and tax savings through our integrated approach.

45+ Years of combined expertise

24hr Claims support



20M+ Total client savings

2000+ Incentive Programs Analyzed

Engineered Incentive Reports

Identify and secure federal, state, and local incentives aligned with your growth strategy.

- **Who It's For**
  Growing companies in expansion mode that are hiring, acquiring equipment, or investing in property.
- **What They Deliver**
  A comprehensive analysis of federal, state, and local incentive programs relevant to your business.
- **Proven Impact**
  Track record of helping clients identify and secure millions of dollars in incentives across industries.

Special Advisory & Capital Solutions

Advisory Services

ETS connects clients with specialty advisory services to support broader investment and tax strategies.

- Insurance Advisory
- 1031 Exchange Solutions
- PACE Financing
- Strategic Tax Planning
- Specialty Tax Investments

Capital Markets

Access investment opportunities and advisory support across real estate and alternative assets.

- Real Estate
- Aviation
- Solar & Equipment
- 1031 / DST Investments
- Valuation
- Appraisal

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Thank You!

Contact Info

Heidi Henderson or Charina Padilla

CMO/Tax Strategy
www.engineeredtaxservices.com